

# Broadcom (AVGO US)

Revenue Inline, \$115b/\$230b AI Guidance for FY27E/28E

Maintained **Buy**  
Target price \$447

**Maintain Buy and TP at \$447:** Broadcom delivered F3Q26 record-high consolidated revenue of \$29.6bn (+86% YoY), topping consensus estimates, and the mgmt. guides F4Q26E total revenue of \$34.8bn (+93% YoY). Of note, it raised FY26E AI semiconductor revenue guidance to \$58bn with FY27E to \$115bn (demand exceeds this outlook, constrained by supply limitations) and introduced FY28E target of \$230bn. F3Q non-GAAP gross margin printed 75%, down 210bps QoQ driven by higher-content XPU product mix; F4Q gross margin is guided to ~73%, while operating margin is expected to hold steady at ~66% thanks to strong operating leverage. We expect \$11.7/\$19.5 EPS for FY26E/FY27E, with TP of \$447 based on 23x FY27E PE, implying 13x FY28E PE.

**AI ASIC revenue ramping across key customers:** F3Q26 AI semiconductor revenue hit \$16.7bn (+221% YoY, +54% QoQ). XPU shipment volume surged over 3.5x YoY and accounted for 73% of AI semiconductor revenue. Broadcom shipped Ironwood (TPU v7) at scale to Anthropic and Google, and commenced mass production of next-gen TPU v8i for Google. OpenAI-customized Jalapeño accelerators are now shipping, delivering inference performance exceeding Grace Blackwell GPU. Google has signed multi-year multi-generation supply agreements for future TPU and AI networking products. Visible multi-gigawatt deployment roadmaps are laid out for Anthropic, OpenAI and Meta. The mgmt. mentioned that major supply bottlenecks remain substrate, HBM, power and data-center build-out; new Singapore substrate capacity will come online starting FY27E to ease constraints.

**AI Networking Momentum Robust:** AI networking remained another key growth driver, with revenue up over 2.5x YoY in F3Q. The mgmt. expect this strong momentum continues into F4Q, with revenue set to triple YoY. Products driving growth include Ethernet switches, routing, NICs, connectivity silicon, DSPs, etc. Non-AI semiconductor demand remained mixed due to cyclical weakness. Broadcom kicks off TH7 tape-out while TH6 is poised for meaningful volume ramp. The mgmt. expects AI-networking revenue to grow at a rate comparable to XPU over the coming years. VMware continued to grow steadily, and management noted that AI should be supportive, as growth in AI servers, CPU cores and private cloud workloads increases demand for VMware infrastructure.

**Risks:** 1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Profit forecast

|                    | FY24   | FY25   | FY26E   | FY27E   | FY28E   |
|--------------------|--------|--------|---------|---------|---------|
| Revenue (m)        | 51,574 | 63,887 | 106,116 | 179,961 | 284,136 |
| Revenue YoY (%)    | 44.0   | 23.9   | 66.1    | 69.6    | 57.9    |
| Net profit (m)     | 23,733 | 33,728 | 57,624  | 96,058  | 166,966 |
| Net profit YoY (%) | 29.1   | 42.1   | 70.8    | 66.7    | 73.8    |
| EPS (\$)           | 4.8    | 6.8    | 11.7    | 19.5    | 33.8    |
| P/E                | 76.1   | 53.8   | 31.5    | 18.9    | 10.9    |
| ROE (%)            | 35.1   | 41.5   | 53.9    | 61.5    | 65.8    |

Source: Company data, GF Securities (Hong Kong) Brokerage.

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## Earnings Forecast

### Earnings revision

By factoring results and guidance, we revise up our EPS estimates by +2%/+7% in FY26E and FY27E, respectively.

**Figure 1: Earnings revision**

| USD m                 | FY2025 | FY2026E |         | FY2027E |         | Change (%) |         |
|-----------------------|--------|---------|---------|---------|---------|------------|---------|
|                       |        | Old     | New     | Old     | New     | FY2026E    | FY2027E |
| Net sales             | 63,887 | 106,078 | 106,116 | 167,293 | 179,961 | 0%         | 8%      |
| Gross profit          | 50,245 | 79,809  | 79,738  | 123,295 | 127,170 | 0%         | 3%      |
| Op. profit            | 41,997 | 69,596  | 71,064  | 109,604 | 116,772 | 2%         | 7%      |
| Pre-tax Income        | 39,161 | 67,087  | 68,599  | 107,096 | 114,352 | 2%         | 7%      |
| Net profit            | 33,728 | 56,353  | 57,624  | 89,961  | 96,058  | 2%         | 7%      |
| EPS (US\$)            | 6.8    | 11.4    | 11.7    | 18.2    | 19.5    | 2%         | 7%      |
| <b>Key ratios (%)</b> |        |         |         |         |         |            |         |
| Gross margin          | 79%    | 75%     | 75%     | 74%     | 71%     |            |         |
| Operating margin      | 66%    | 66%     | 67%     | 66%     | 65%     |            |         |
| Pre-tax margin        | 61%    | 63%     | 65%     | 64%     | 64%     |            |         |
| Net profit margin     | 53%    | 53%     | 54%     | 54%     | 53%     |            |         |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Broadcom's P&L forecast

| (USD m)                     | FY25    | F1Q26  | F2Q26  | F3Q26  | F4Q26E | FY26E   | F1Q27E  | F2Q27E  | F3Q27E  | F4Q27E  | FY27E   |
|-----------------------------|---------|--------|--------|--------|--------|---------|---------|---------|---------|---------|---------|
| Sales                       | 63,887  | 19,311 | 22,187 | 29,591 | 35,027 | 106,116 | 37,691  | 44,313  | 45,611  | 52,346  | 179,961 |
| COGS                        | -20,593 | -6,154 | -6,772 | -9,135 | -9,457 | -31,518 | -10,553 | -12,851 | -13,683 | -15,704 | -52,791 |
| Gross profit                | 50,245  | 14,868 | 17,109 | 22,191 | 25,570 | 79,738  | 27,138  | 31,462  | 31,928  | 36,642  | 127,170 |
| Opex                        | -8,248  | -2,042 | -2,181 | -2,096 | -2,355 | -8,674  | -2,398  | -2,660  | -2,574  | -2,766  | -10,398 |
| Operating profit            | 41,997  | 12,826 | 14,928 | 20,095 | 23,215 | 71,064  | 24,739  | 28,802  | 29,354  | 33,877  | 116,772 |
| Non-op profit               | -2,778  | -628   | -627   | -605   | -605   | -2,465  | -605    | -605    | -605    | -605    | -2,420  |
| Pre-tax profit              | 39,219  | 12,198 | 14,301 | 19,490 | 22,610 | 68,599  | 24,134  | 28,197  | 28,749  | 33,272  | 114,352 |
| Income tax                  | -5,491  | -2,013 | -2,227 | -3,118 | -3,617 | -10,975 | -3,861  | -4,511  | -4,599  | -5,323  | -18,294 |
| Non-GAAP Net Income         | 33,728  | 10,185 | 12,074 | 16,372 | 18,993 | 57,624  | 20,273  | 23,686  | 24,150  | 27,949  | 96,058  |
| Diluted EPS (US\$)          | 6.8     | 2.1    | 2.4    | 3.3    | 3.8    | 11.7    | 4.1     | 4.8     | 4.9     | 5.7     | 19.5    |
| Diluted shares              | 4,969   | 4,957  | 4,940  | 4,937  | 4,937  | 4,937   | 4,937   | 4,937   | 4,937   | 4,937   | 4,937   |
| Margin analysis             |         |        |        |        |        |         |         |         |         |         |         |
| Gross margin                | 78.6%   | 77.0%  | 77.1%  | 75.0%  | 73.0%  | 75.1%   | 72.0%   | 71.0%   | 70.0%   | 70.0%   | 70.7%   |
| Operating margin            | 65.7%   | 66.4%  | 67.3%  | 67.9%  | 66.3%  | 67.0%   | 65.6%   | 65.0%   | 64.4%   | 64.7%   | 64.9%   |
| Pre-tax margin              | 61.4%   | 63.2%  | 64.5%  | 65.9%  | 64.5%  | 64.6%   | 64.0%   | 63.6%   | 63.0%   | 63.6%   | 63.5%   |
| Effective tax rate          | 14.0%   | 16.5%  | 15.6%  | 16.0%  | 16.0%  | 16.0%   | 16.0%   | 16.0%   | 16.0%   | 16.0%   | 16.0%   |
| Growth (YoY%)               |         |        |        |        |        |         |         |         |         |         |         |
| Sales                       | 24%     | 29%    | 48%    | 86%    | 94%    | 66%     | -41%    | 129%    | 106%    | 77%     | 70%     |
| Operating profit            | 37%     | 31%    | 52%    | 92%    | 95%    | 69%     | -41%    | 125%    | 97%     | 69%     | 64%     |
| Net income                  | 42%     | 30%    | 55%    | 95%    | 96%    | 71%     | -40%    | 133%    | 100%    | 71%     | 67%     |
| EPS                         | 42%     | 29%    | 55%    | 96%    | 97%    | 71%     | -40%    | 133%    | 100%    | 71%     | 67%     |
| Product mix (%)             |         |        |        |        |        |         |         |         |         |         |         |
| Networking                  | 56%     | 45%    | 50%    | 58%    | 64%    | 56%     | 68%     | 71%     | 72%     | 75%     | 72%     |
| Broadband                   | 4%      | 4%     | 5%     | 4%     | 3%     | 4%      | 2%      | 3%      | 2%      | 2%      | 2%      |
| Wireless                    | 4%      | 6%     | 5%     | 4%     | 3%     | 4%      | 2%      | 2%      | 2%      | 2%      | 2%      |
| Server/Storage/Connectivity | 6%      | 7%     | 7%     | 5%     | 5%     | 6%      | 4%      | 3%      | 3%      | 3%      | 3%      |
| Industrial & Other          | 1%      | 1%     | 1%     | 1%     | 1%     | 1%      | 1%      | 1%      | 1%      | 1%      | 1%      |
| Infrastructure SW           | 31%     | 40%    | 35%    | 29%    | 25%    | 31%     | 24%     | 20%     | 20%     | 17%     | 20%     |

Sources: Company data, GF Securities (Hong Kong) Brokerage

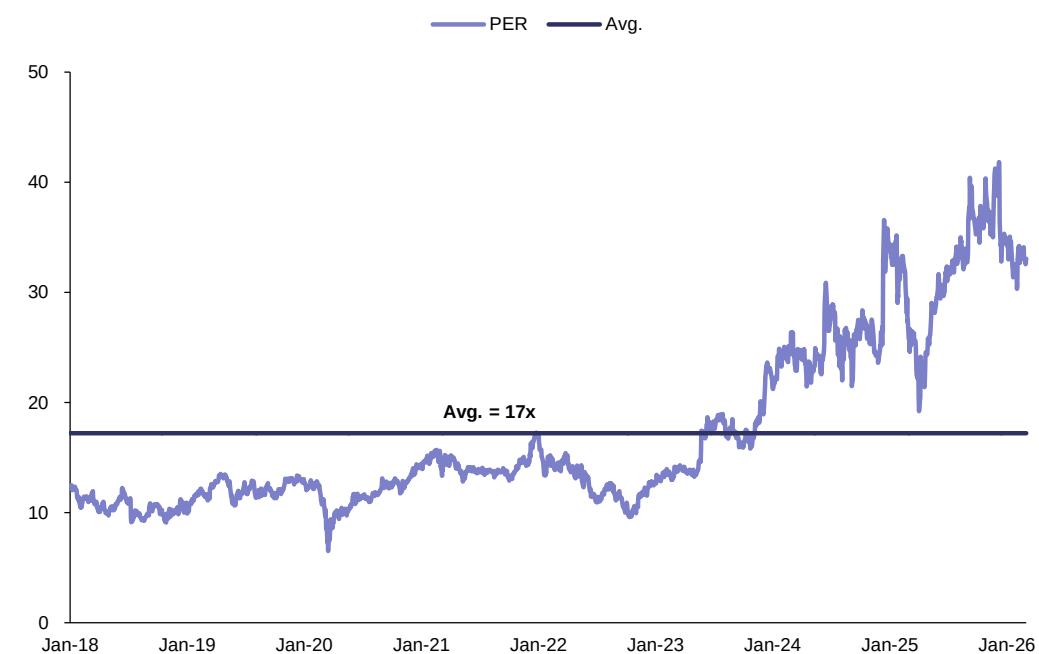
## Valuation and Recommendation

### Maintain Buy with TP of \$447

We Maintain Broadcom (AVGO US) Buy Rating with target price of \$447, based on 23x FY27E EPS. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to technology firms with robust growth.

Key downside risks to our valuation matrix include: 1) a sudden decline in AI spending; 2) weaker than expected non-AI business; 3) delays in new AI ASIC product introductions and productions.

Figure 3: Broadcom's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

### Risks

1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

| Balance Sheet                         |                |                |                |                |                | USD mn |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                                       | FY24           | FY25           | FY26E          | FY27E          | FY28E          |        |
| <b>Current assets</b>                 | <b>19,595</b>  | <b>31,573</b>  | <b>60,973</b>  | <b>116,317</b> | <b>217,610</b> |        |
| Cash and cash equivalents             | 9,348          | 16,178         | 30,110         | 74,348         | 161,078        |        |
| Inventory                             | 4,071          | 5,980          | 9,968          | 9,968          | 9,968          |        |
| Accounts Receivable                   | 1,760          | 2,270          | 4,670          | 7,754          | 10,066         |        |
| Other current assets                  | 4,416          | 7,145          | 16,225         | 24,247         | 36,498         |        |
| <b>Non-current assets</b>             | <b>146,050</b> | <b>139,519</b> | <b>133,926</b> | <b>128,309</b> | <b>124,620</b> |        |
| Long-term equity investment           | -              | -              | -              | -              | -              |        |
| Fixed assets                          | 2,521          | 2,530          | 3,137          | 5,688          | 10,167         |        |
| Other long-term assets                | 143,529        | 136,989        | 130,789        | 122,621        | 114,453        |        |
| <b>Total assets</b>                   | <b>165,645</b> | <b>171,092</b> | <b>194,898</b> | <b>244,626</b> | <b>342,230</b> |        |
| <b>Current liabilities</b>            | <b>16,697</b>  | <b>18,514</b>  | <b>20,968</b>  | <b>23,695</b>  | <b>25,740</b>  |        |
| Accounts Payable                      | 1,662          | 1,560          | 4,130          | 6,857          | 8,902          |        |
| Short-term borrowings                 | 1,271          | 3,152          | 2,252          | 2,252          | 2,252          |        |
| Other current liabilities             | 13,764         | 13,802         | 14,586         | 14,586         | 14,586         |        |
| <b>Non-current liabilities</b>        | <b>81,270</b>  | <b>71,286</b>  | <b>67,048</b>  | <b>64,818</b>  | <b>62,676</b>  |        |
| Long-term Debt                        | 66,295         | 61,984         | 56,595         | 54,365         | 52,223         |        |
| Other non-current liabilities         | 14,975         | 9,302          | 10,453         | 10,453         | 10,453         |        |
| <b>Total liabilities</b>              | <b>97,967</b>  | <b>89,800</b>  | <b>88,016</b>  | <b>88,514</b>  | <b>88,416</b>  |        |
| <b>Total Equity</b>                   | <b>67,678</b>  | <b>81,292</b>  | <b>106,882</b> | <b>156,112</b> | <b>253,814</b> |        |
| Share Capital                         | 67,466         | 71,308         | 77,330         | 77,330         | 77,330         |        |
| Additional Paid-in Capital            | 212            | 223            | 204            | 204            | 204            |        |
| Retained earnings                     | -              | 9,761          | 29,552         | 78,782         | 176,484        |        |
| Minority interests                    | -              | -              | -              | -              | -              |        |
| <b>Total Liabilities &amp; Equity</b> | <b>165,645</b> | <b>171,092</b> | <b>194,898</b> | <b>244,626</b> | <b>342,230</b> |        |

| Income Statement                 |               |               |                |                |                | USD mn |
|----------------------------------|---------------|---------------|----------------|----------------|----------------|--------|
|                                  | FY24          | FY25          | FY26E          | FY27E          | FY28E          |        |
| <b>Revenue</b>                   | <b>51,574</b> | <b>63,887</b> | <b>106,116</b> | <b>179,961</b> | <b>284,136</b> |        |
| Cost of sales                    | 13,927        | 20,593        | 31,518         | 52,791         | 73,753         |        |
| <b>Gross profit</b>              | <b>39,459</b> | <b>50,245</b> | <b>79,738</b>  | <b>127,170</b> | <b>213,395</b> |        |
| Operating Expense                | 8,723         | 8,248         | 8,674          | 10,398         | 12,211         |        |
| <b>Operating profit</b>          | <b>30,736</b> | <b>41,997</b> | <b>71,064</b>  | <b>116,772</b> | <b>201,184</b> |        |
| Interest Income                  | -             | -             | -              | -              | -              |        |
| Interest Expense                 | 3,953         | 3,210         | 3,058          | 2,000          | 1,600          |        |
| Net other Non-op. Income/(Loss)  | 406           | 455           | 747            | 392            | 392            |        |
| <b>Pre-tax profit</b>            | <b>27,358</b> | <b>39,219</b> | <b>68,599</b>  | <b>114,352</b> | <b>198,764</b> |        |
| Income tax                       | 3,625         | 5,491         | 10,975         | 18,294         | 31,798         |        |
| <b>Profit for the year</b>       | <b>23,733</b> | <b>33,728</b> | <b>57,624</b>  | <b>96,058</b>  | <b>166,966</b> |        |
| Minority interest                | -             | -             | -              | -              | -              |        |
| <b>Net profit to ord. equity</b> | <b>23,733</b> | <b>33,728</b> | <b>57,624</b>  | <b>96,058</b>  | <b>166,966</b> |        |
| <b>EPS (US\$)</b>                | <b>4.8</b>    | <b>6.8</b>    | <b>11.7</b>    | <b>19.5</b>    | <b>33.8</b>    |        |

| Cash Flow Statement         |                |                |                |                |                | USD mn |
|-----------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                             | FY24           | FY25           | FY26E          | FY27E          | FY28E          |        |
| <b>Operating cash flow</b>  | <b>19,962</b>  | <b>27,537</b>  | <b>49,598</b>  | <b>84,349</b>  | <b>131,273</b> |        |
| Profit for the year (GAAP)  | 5,895          | 23,126         | 44,698         | 78,402         | 126,863        |        |
| Depreciation & amortization | 10,010         | 8,775          | 8,744          | 8,852          | 8,852          |        |
| Change in working capital   | -4,637         | -8,500         | -11,495        | -16,769        | -12,518        |        |
| Others                      | 8,694          | 4,136          | 7,651          | 13,864         | 8,076          |        |
| <b>Investing cash flow</b>  | <b>-23,070</b> | <b>-665</b>    | <b>-2,647</b>  | <b>-8,091</b>  | <b>-7,476</b>  |        |
| Capex                       | -548           | -623           | -1,643         | -4,628         | -5,172         |        |
| Change in investment        | -22,493        | -              | -              | -              | 10             |        |
| Others                      | -29            | -42            | -1,004         | -3,463         | -2,314         |        |
| <b>Free cash flow</b>       | <b>18,310</b>  | <b>27,846</b>  | <b>51,145</b>  | <b>119,633</b> | <b>130,543</b> |        |
| <b>Financing cash flow</b>  | <b>-1,733</b>  | <b>-20,127</b> | <b>-33,020</b> | <b>-60,025</b> | <b>-37,066</b> |        |
| Change in Capital           | 190            | 103            | -              | -              | -              |        |
| Net Change in Debt          | 20,346         | 7,576          | 3,902          | -2,802         | -2,142         |        |
| Others                      | -22,269        | -27,806        | -36,922        | -57,223        | -34,924        |        |
| <b>Exchange influence</b>   | <b>-</b>       | <b>-</b>       | <b>-</b>       | <b>-</b>       | <b>-</b>       |        |
| <b>Net increase in cash</b> | <b>-4,841</b>  | <b>6,745</b>   | <b>13,932</b>  | <b>53,583</b>  | <b>86,730</b>  |        |

| Key Financial Ratios    |      |      |       |       |       |
|-------------------------|------|------|-------|-------|-------|
|                         | FY24 | FY25 | FY26E | FY27E | FY28E |
| <b>Growth</b>           |      |      |       |       |       |
| Revenue growth          | 44.0 | 23.9 | 66.1  | 69.6  | 57.9  |
| Operating profit growth | 38.9 | 36.6 | 69.2  | 64.3  | 57.9  |
| Net profit growth       | 29.1 | 42.1 | 70.8  | 66.7  | 73.8  |
| <b>Profitability</b>    |      |      |       |       |       |
| Gross profit margin     | 76.5 | 78.6 | 75.1  | 70.7  | 70.7  |
| Operating Profit Margin | 59.6 | 65.7 | 67.0  | 64.9  | 64.9  |
| Net profit margin       | 46.0 | 52.8 | 54.3  | 53.4  | 58.8  |
| <b>Key Ratio</b>        |      |      |       |       |       |
| ROA                     | 14.3 | 19.7 | 29.6  | 39.3  | 48.8  |
| ROE                     | 35.1 | 41.5 | 53.9  | 61.5  | 65.8  |
| <b>Stability</b>        |      |      |       |       |       |
| Gross debt/equity       | 1.4  | 1.1  | 0.8   | 0.6   | 0.3   |
| Interest Coverage       | 6.1  | 9.0  | 17.1  | 60.8  | 42.3  |
| Current Ratio           | 1.2  | 1.7  | 2.9   | 4.9   | 8.5   |
| Quick Ratio             | 1.1  | 1.6  | 2.7   | 4.6   | 8.1   |
| Net debt/equity         | 1.3  | 0.9  | 0.5   | 0.1   | -0.3  |

## Rating definitions Benchmark: Hang Seng Index (Hong Kong)

|                        |                     |                                                                 |
|------------------------|---------------------|-----------------------------------------------------------------|
| <b>Company ratings</b> | <b>Buy</b>          | Stock expected to outperform benchmark by more than 10%         |
|                        | <b>Hold</b>         | Expected stock relative performance ranges between -10% and 10% |
|                        | <b>Underperform</b> | Stock expected to underperform benchmark by more than 10%       |

|                       |                 |                                                                  |
|-----------------------|-----------------|------------------------------------------------------------------|
| <b>Sector ratings</b> | <b>Positive</b> | Sector expected to outperform benchmark by more than 10%         |
|                       | <b>Neutral</b>  | Expected sector relative performance ranges between -10% and 10% |
|                       | <b>Cautious</b> | Sector expected to underperform benchmark by more than 10%       |

|                  |                  |                                                       |
|------------------|------------------|-------------------------------------------------------|
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